IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/67(CHE)/2021

In

CA/(CAA)/58(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

of

M/s. BLUE JEANS NETWORK INDIA PRIVATE LIMITED
CIN : U72200KA2012PTC065857
Reg.Off:
No. 20, 2nd Floor, Uniworth Plaza Sankey Road Bangalore,
Karnataka - 560020

...Transferor Company

With

M/s. VERIZON DATA SERVICES INDIA PRIVATE LIMITEDCIN : U72300TN2001PTC046551
Reg.Off:
No. 1, SIDCO Industrial Estate, Guindy, Olympia Technology Park,
Citius-'B' Block, 8th Floor,
Chennai - 600032,

... Petitioner / Transferee Company

*Order Pronounced on **10th June 2022***

CORAM

Per: **JUSTICE (RETD) S.RAMATHILAGAM, MEMBER (JUDICIAL)**
ANIL KUMAR B, MEMEBER (TECHNICAL)

For Petitioners: P. Sriram, PCS

ORDER

Per: **JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Company / Transferee Company above named for the purpose of the approval of the Scheme of Amalgamation of **M/s. BLUE JEANS NETWORK INDIA PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* with **M/s. VERIZON DATA SERVICES INDIAPRIVATE LIMITED** *(hereinafter referred to as "Transferee Company")* under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner/Transferee Company and the said Scheme is also annexed as 'Annexure - 6' to the typed set filed along with the Petition. The Registered Office address of the Transferor Company is at Bangalore and falls within the jurisdiction of NCLT, Bengaluru Bench and accordingly the approval and disposal of the present Company Petition, shall be subject to the sanction and approval of the Composite Scheme by the NCLT, Bengaluru Bench.

3. **1ST MOTION APPLICATION – IN BRIEF**

The Transferee Company has filed the First Motion Application vide CA(CAA)/58(CHE)/2021, seeking directions for dispensing with the meeting of the Equity Shareholders of the Transferee Company. Based on such application moved under Sections 230 to 232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 17.11.2021, wherein all the meetings of the Equity Shareholders for the Transferee Company were dispensed with and the Applicant Company was directed to present the Company Petition on or before 14 days from the date of receipt of the certified True Copy of the order. Subsequently the second motion petition was filed before this Tribunal by the petitioner company on 02.12.2021, For sanction of the Scheme of Amalgamation by this Tribunal.

4. **RATIONALE OF THE SCHEME**

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Company No.2/Transferee Company would *inter alia* result in the following benefits;

i. Greater integration and financial strength for the amalgamated entity, which would result in maximising over all Shareholders value, and will

improve the financial position of the amalgamated entity.

ii. The amalgamation would benefit shareholders and other stakeholders of the respective Companies by Consolidating and simplifying the group structure and Business operation thereby facilitating in optimal utilization of various resources.

iii. The amalgamation would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources. There would be Greater efficiency in cash management and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund growth opportunities, to further improve shareholder's value.

iv. Simplified management structure, leading to better administration and reduction in costs from more focused operational efforts, rationalization, standardization and simplification of business processes, the elimination of duplication, and rationalization of administrative expenses.

v. Reduction in multiplicity of regulatory and legal compliances/filings including accounting, reporting requirements, statutory and internal audit requirements, tax filings, etc., and consequential reduction in administrative costs for both the companies.

5. In the Second Motion Application filed by the Petitioner/Transferee Company, this Tribunal had directed the Petitioner/Transferee Company to issue notices to the Statutory / Regulatory Authorities viz. (i) Regional Director, MCA (ii) Registrar

of Companies, Chennai, (iii) The Income Tax Authorities,(iv) The Competition Commission of India and other sectoral regulators who may have significant bearing on the operation of Petitioner/Transferee Company, as well as for paper publications to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner/Transferee Company had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Company No.2/Transferee Company has effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 18thJanuary, 2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 8thJanuary, 2022 (ii) Registrar of Companies Chennai on 8th January, 2022 (iii) Income Tax Department on 8th January, 2022(iv) Official Liquidator on 8th January, 2022 (v) The Competition Commission of India on 8th January, 2022 and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Further the Petitioner/Transferee Company has also given undertaking that the Scheme of Amalgamation proposed to be entered into between the

Transferor Company and the Transferee Company does not fall under the required threshold limit as prescribed under Section 5 and 6 of the Competition Act, 2002. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued has filed his Report on 24th February,2022 before this Tribunal and has stated that Clause 2 of Part 'II' of the Scheme provides for the protection of the interest of the employees of the Transferor Company. It was further observed that as per the report of RoC, Chennai, the Transferor Company and Transferee Company are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

7.2. Further the RD has observed that Clause 1 of Part III of the Scheme has stated that the authorized capital of the Transferor Company will be merged with the authorized capital of the Transferee Company and in the said circumstances sought for a direction to the Transferee

Company to remit the difference of fee, if any, in accordance with Section 232(3)(i) of the Companies Act, 2013 and to file the amended MoA and AoA with the RoC, Chennai for its record. Apart from the above, the Regional Director has not made any objection to the Scheme.

7.5. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory authorities viz. the Income Tax Department, do not have any objection to the sanction of the Scheme.

8. VALUATION REPORT

The Learned Authorized Representative for the Petitioner/Transferee Company invited the attention of this Tribunal to the Valuation Report obtained from Mr.Kirthi Kumar Jain, Registered Valuer dated 20th April 2021, wherein it has been recommended by the independent Registered Valuer as follows:

"3,725 (Three Thousand Seven Hundred and Twenty-Five) Equity Shares of Transferee Company of Rs.10/- each fully

paid up for every 1000 (One Thousand) Equity Shares of Transferor Company of Rs.10/- each fully paid up:"

9. **ACCOUNTING TREATMENT**

The Learned Authorized Representative for the Petitioner/Transferee Company has stated that the Statutory Auditors of the Petitioner Company No.2/Transferee Company has examined the Scheme and has certified that the Petitioner/Transferee Company has complied with proviso to Section 230(7) / Section 232(3) of Companies Act, 2013 and the Accounting Treatment contained in the Scheme is in compliance with the applicable Indian Accounting Standards. The certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner/Transferee Company is placed as Annexure – 11 in the typed set filed along with the Petition.

10. **OBSERVATIONS OF THIS TRIBUNAL**

10.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner/Transferee Company seems to be *prima facie* beneficial to the Petitioner/Transferee Company and will not be in any way detrimental to the interest of the

shareholders or creditors of the Petitioner/Transferee Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme appended as Annexure "6" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner/Transferee Company submitted that no investigation proceedings are pending against the Transferor Company or Transferee Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Company No.2/Transferee Company for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Company.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company with effect from the Appointed Date.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company with effect from the Appointed Date.

(iii) That the Appointed date for the Scheme shall be **1st April 2021** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 1, 1.1 of Part III of the Scheme herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferee Company, shall within Thirty days of the date of receipt of certified copy of this order cause such certified copy to be filed with the Registrar of Companies in e-Form INC-28 and on such certified copy being so filed, the Transferor Company shall be dissolved and the Registrar of Companies shall place all

documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said Petitioner Company No.2/Transferee Company shall be consolidated accordingly.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)